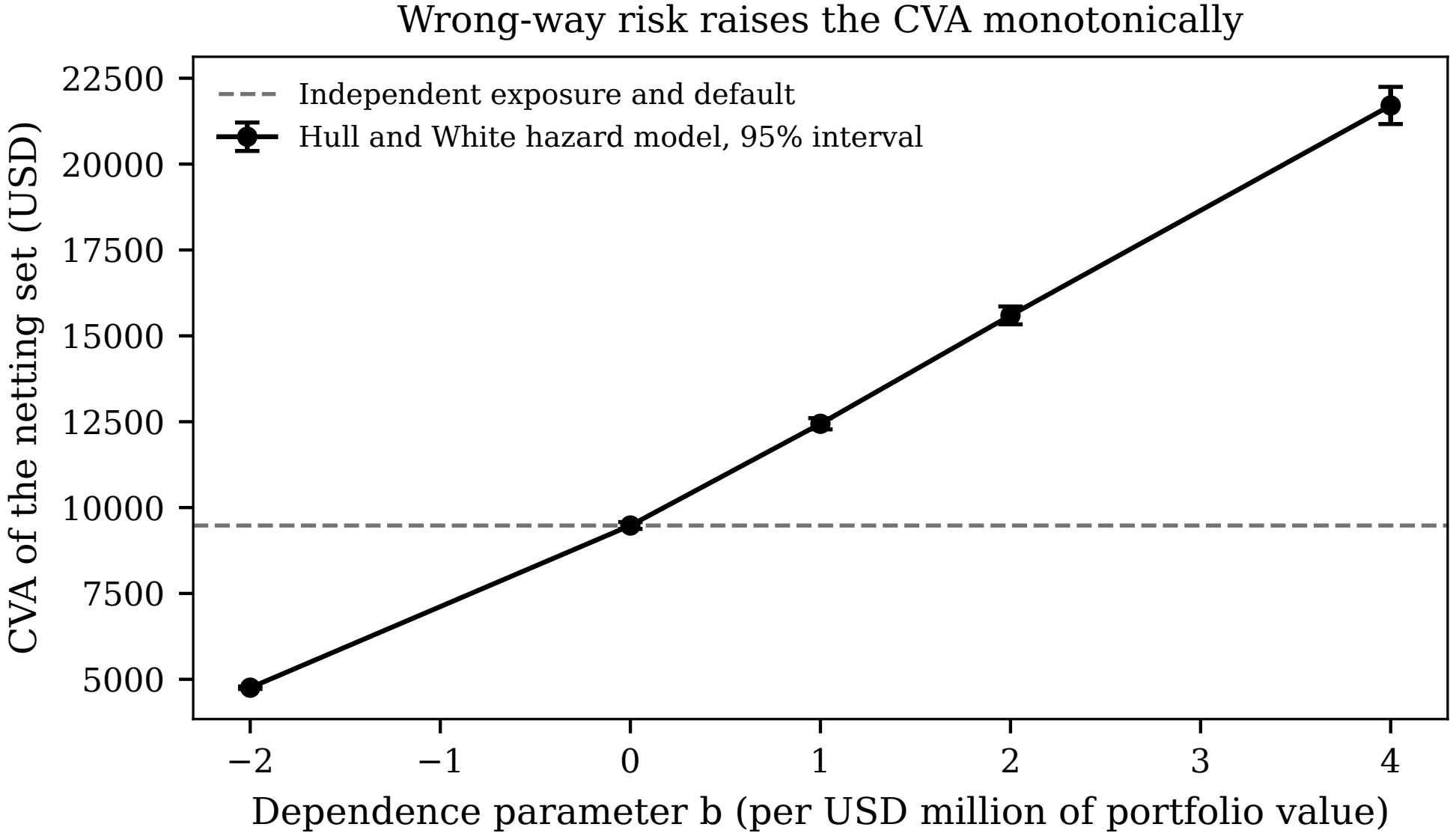
Wrong-way risk raises the CVA monotonically
Independent exposure and default
Hull and White hazard model, 95% interval
CVA of the netting set (USD)
22500
20000
17500
15000
12500
10000
7500
5000
−2
−1
0
1
2
3
4
Dependence parameter b (per USD million of portfolio value)